

Equity Research Report



**SUN PHARMACEUTICALS
INDUSTRIES LIMITED**

BSE: 524715 | NSE: SUNPHARMA

1. At a Glance – Key Metrics:

₹525,784M Total Revenue (FY25) ↑ 9.0% YoY	₹100,928M Specialty Revenue (FY25) ≈ USD 1,216M ↑17.1%	~28.69% EBITDA Margin (FY25) Expanding YoY	₹32,484M R&D Spend (FY25) ~6.3% of Revenue	₹109,290M Net Profit (FY25) EPS ₹45.76 ↑13%	41 Manufacturing Sites Across 6 continents
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2. About the Company:

Sun Pharmaceutical Industries Limited (Sun Pharma) is India's largest pharmaceutical company and the fourth largest specialty generic pharmaceutical company globally. Incorporated in **1983** by **Dilip S. Shanghvi** in Vadodara, Gujarat, Sun Pharma has grown from a two-product psychiatry-focused start-up to a diversified global pharmaceutical powerhouse with revenues of ₹520,000 million in FY2024–25 and a commercial presence in over 100 countries. The Shanghvi family continues to hold a commanding **~54.5% promoter stake**, reflecting the disciplined, founder-led culture that has shaped the company's long-term strategic direction.

The company is listed on both the National Stock Exchange (NSE: SUNPHARMA) and the Bombay Stock Exchange (BSE: 524715), and is tracked globally under Bloomberg ticker SUNP IN and Reuters ticker SUN.BO. Its Corporate Identification Number (CIN) is L24230GJ1993PLC019050. The corporate office is located at Sun House, Goregaon (E), Mumbai, while the registered office and advanced research centre remain at Tandalja, Vadodara.

Sun Pharma's business is structured around three complementary segments: **(i) Global Specialty** – innovative, patent-protected medicines in dermatology, ophthalmology, and oncology, marketed primarily in the United States and select international markets; **(ii) Generics and Branded Generics** – a broad portfolio of generic formulations and branded generics across India, the US, Emerging Markets, and Rest of World; and **(iii) Consumer Healthcare and APIs** – over-the-counter products and active pharmaceutical ingredients supporting internal and third-party manufacturing requirements. The company's vertically integrated operations span drug discovery, clinical development, manufacturing, regulatory affairs, and global commercialisation.

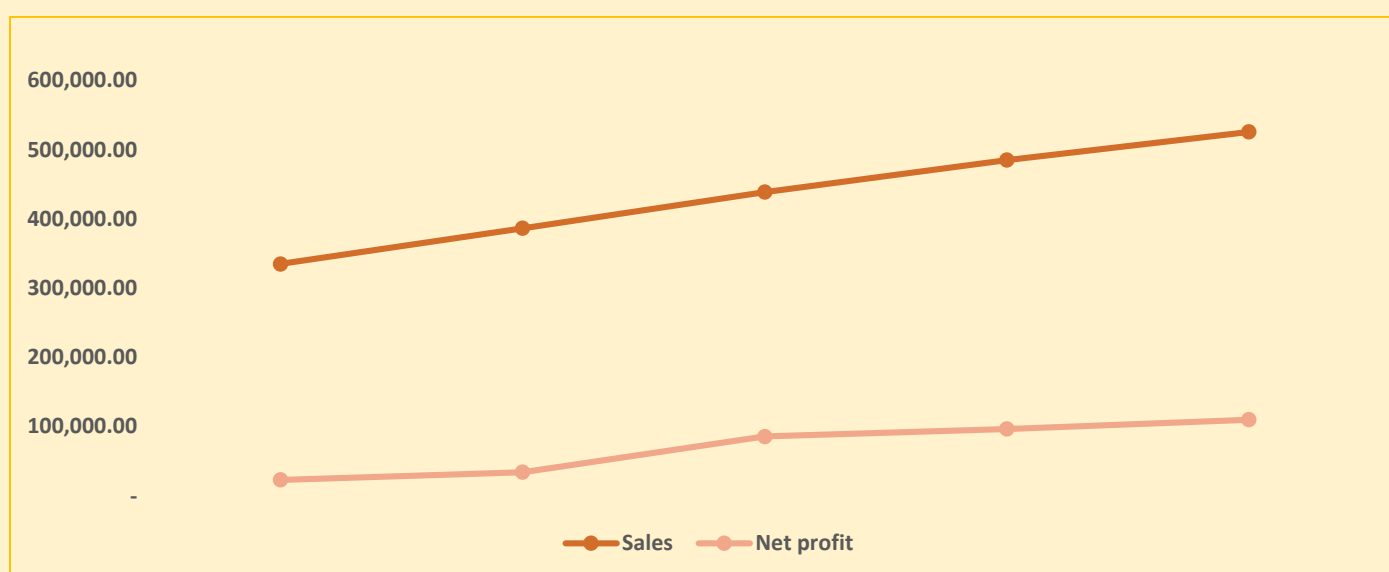
Source: Financial Model

3. Financial Performance

(Amounts in ₹MM unless otherwise stated)

Key Financials Metrics	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Total Sales	334981.4	386544.9	438856.8	484968.5	525784.4
Sales Growth(y-o-y)	-	15.39%	13.53%	10.51%	8.42%
Gross Profit Margins	74.06%	73.22%	75.70%	78.01%	79.56%
EBITDA Margins	25.28%	26.50%	26.83%	26.78%	28.69%
EBIT Margins	19.07%	20.95%	21.06%	21.51%	23.79%
Net Profit Margins	6.82%	8.81%	19.51%	19.89%	20.88%
Return on Equity(%)	4.92%	7.09%	15.29%	15.15%	15.20%
Return on Capital Employed(%)	13.56%	16.79%	16.51%	16.38%	17.32%

Revenue v/s Net Profit Trend



Key Observations:

- Revenue CAGR of **11.9%** driven by volume growth, new launches, and specialty ramp-up.
- Margin expansion across gross, EBITDA, and net levels due to operating leverage and favourable product mix.
- Exceptional items normalised post-FY23; core profitability trajectory remains strong.

Balance Sheet Snapshot (FY25)

- Total Assets: **921,006**
- Total Equity (incl. NCI): **724,860**
- Cash & Cash Equivalents: **102,688**
- Total Borrowings: **18,696** (net cash positive position)
- Working capital well-managed (inventories ~348 days, receivables ~91 days, payables ~185 days).

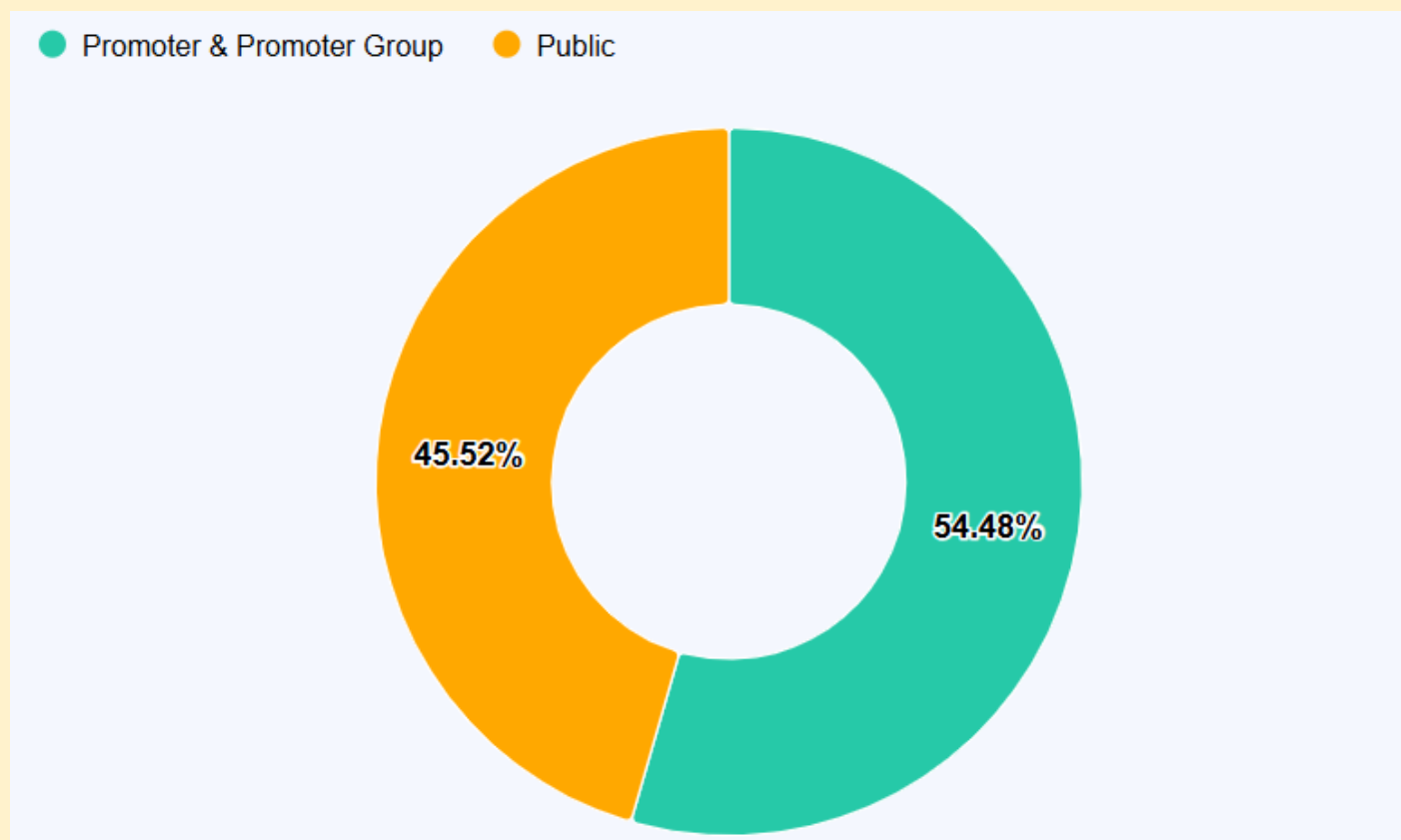
Cash Flow Highlights (FY25)

- Operating Cash Flow: ₹140,721 million (strong conversion).
- Free Cash Flow to Firm (model-derived): Healthy trajectory supporting dividends and potential M&A.

4. Shareholding Pattern:

Source: nseindia.com

SHAREHOLDINGS	Mar-25	Jun-25	Sep-25	Dec-2	Mar-26
Promoters & Promoters Group	54.48%	54.48%	54.48%	54.48%	54.48%
Public	45.52%	45.52%	45.52%	45.52%	45.52%



Key Observations:

- The shareholding pattern of Sun Pharmaceutical Industries Limited remained highly stable during the observed period from Mar-25 to Mar-26, indicating consistency in ownership structure and shareholder confidence.
- Promoters & Promoter Group maintained a majority stake of **54.48%** throughout all quarters, reflecting strong promoter confidence in the company's long-term growth prospects and operational stability.
- Public shareholding remained constant at **45.52%**, suggesting steady participation from institutional and retail investors without any major dilution or stake restructuring during the period. The stable promoter holding indicates that the company did not witness any significant equity issuance, promoter pledging concerns, or major ownership changes during the forecasted period.
- A promoter holding above 50% generally provides management with effective strategic control over business decisions while also signaling long-term commitment toward the company's future growth.

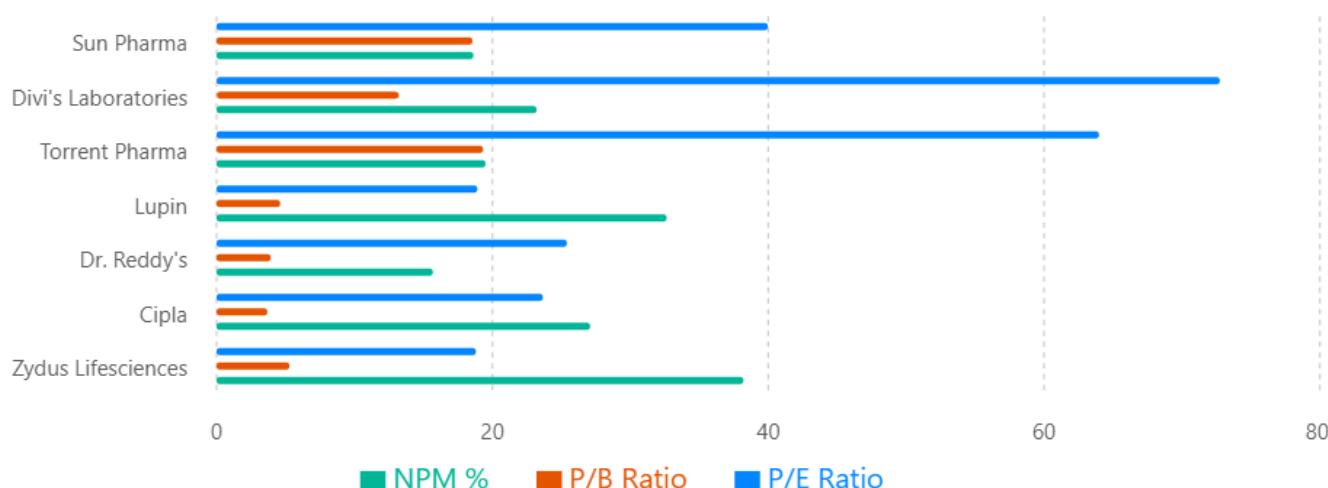
5. Peers Comparison:

Source: bseindia.com

Company	NPM %	P/B	P/E
Sun Pharma. Inds. Ltd.	18.62%	18.55x	39.97x
Divi's Laboratories Ltd.	23.20%	13.22x	72.74x
Torrent Pharmaceuticals Ltd.	19.50%	19.32x	63.98x
Lupin Ltd.	32.63%	4.61x	18.91x
Dr Reddy's Laboratories Ltd.	15.68%	3.92x	25.40x
Cipla Ltd.	27.08%	3.68x	23.65x
Zydus Lifesciences Ltd.	38.20%	5.28x	18.80x

Peer Comparison – Indian Pharmaceutical Companies

Comparison of P/E Ratio, P/B Ratio and Net Profit Margin (NPM %) across major pharmaceutical companies with data labels.



Key Observations:

- Sun Pharmaceutical Industries Limited is trading at a comparatively higher valuation with a **P/E ratio of 39.97x** and **P/B ratio of 18.55x**, indicating strong investor confidence and premium market positioning within the Indian pharmaceutical sector.
- Divi's Laboratories Limited commands the highest **P/E ratio of 72.74x** among peers, reflecting strong market expectations regarding future earnings growth and profitability potential.
- Torrent Pharmaceuticals Limited also trades at elevated valuation multiples with a **P/E ratio of 63.98x** and the highest **P/B ratio of 19.32x**, suggesting strong investor optimism and efficient value creation from its equity base.

- Lupin Limited reported a strong **Net Profit Margin (NPM) of 32.63%** while maintaining relatively lower valuation multiples, which may indicate potential undervaluation compared to some peers.
- Zydus Lifesciences Limited recorded the highest **Net Profit Margin of 38.20%**, demonstrating superior profitability and operational efficiency among the selected peer group.
- Cipla Limited and Dr. Reddy's Laboratories Limited are trading at comparatively moderate valuation levels, indicating balanced market expectations and relatively stable earnings outlook.
- Overall, the peer comparison suggests that companies with strong profitability and growth expectations are commanding premium valuation multiples in the pharmaceutical industry, while firms with comparatively moderate growth outlooks are trading at lower valuation levels.

6. Valuation Summary:

Source: Financial Model

DCF Valuation

- A Discounted Cash Flow (DCF) valuation has been performed for Sun Pharmaceutical Industries Limited using a 10-year FCFF forecast period (FY26–FY35) along with terminal value estimation under the Gordon Growth Model and Exit Multiple approach.
- The valuation model assumes a WACC of 9.52% and a terminal growth rate of 4.0%. Revenue is projected to increase from ₹5,25,784 Mn in FY25 to ₹9,95,296 Mn by FY35, reflecting stable long-term growth supported by strong domestic business, specialty portfolio expansion, and international operations.
- Projected FCFF is expected to remain strong over the forecast period, demonstrating healthy operational performance and sustainable cash flow generation capability.
- The present value of forecasted FCFF stands at approximately ₹10,53,410 Mn, while the present value of terminal value is estimated at ₹16,01,891 Mn, resulting in a total operating asset value of ₹26,55,301 Mn.
- After adjusting for cash & financial assets of ₹1,30,723 Mn and debt/minority interest of ₹21,376 Mn, the estimated equity value comes to ₹27,64,648 Mn. Based on 2,399.3 Mn shares outstanding, the intrinsic value per share is estimated at:

Fair Value per Share: ₹1,152.27

- Compared to the current market price of ₹1,818, the valuation indicates a potential downside, suggesting that the stock is currently trading at premium valuations relative to its intrinsic value.

Sensitivity Analysis:

- The valuation remains highly sensitive to changes in WACC, terminal growth rate, and exit multiples.
- At 7.5% WACC and 5.0% terminal growth, valuation increases to nearly ₹1,825/share. At 11.5% WACC and 3.0% terminal growth, valuation declines to around ₹905/share.
- Under the base-case assumption of 9.52% WACC and 4.0% terminal growth, the fair value remains at ₹1,152/share.
- Using exit multiples, valuation ranges between ₹982/share (10x EV/EBITDA) and ₹1,311/share (30x EV/EBITDA).

Overall, despite strong fundamentals, healthy cash flows, and long-term growth prospects, the current market valuation appears stretched. Hence, the stock offers limited margin of safety at present levels, leading to an **“IGNORE / HOLD”** investment view for fresh entry.

Relative Valuation

- The relative valuation analysis compares Sun Pharma with major Indian pharmaceutical peers using EV/Revenue, EV/EBITDA, and P/E multiples.
- The company currently trades at premium valuation multiples due to its strong market leadership, specialty portfolio, diversified geographic presence, and stable profitability profile.
- Based on peer multiples, the implied fair value per share is estimated at:
 - **EV/Revenue:** ₹959 per share
 - **EV/EBITDA:** ₹1,100 per share
 - **P/E Multiple:** ₹1,268 per share
- Compared to the current market price, all valuation approaches indicate limited upside potential, suggesting that the stock is trading at elevated valuation levels.

Valuation Summary & Recommendation

- DCF Target Price: ₹1,152
- Relative Valuation Range: ₹959 – ₹1,268
- Current Market Price: ₹1,818
- Overall Fair Value Range: ₹1,050 – ₹1,250
- The stock currently appears fully valued to overvalued at current levels. Although Sun Pharmaceutical Industries Limited continues to benefit from strong domestic leadership, specialty business growth, healthy cash flows, and stable profitability, the present valuation offers limited margin of safety for fresh investors.
- Accordingly, we maintain an **“IGNORE”** recommendation from a valuation perspective unless the company delivers stronger-than-expected specialty growth, margin expansion, or significant earnings upgrades.

7. Technical Analysis:

Source: Tradiniew.com



Key Observations:

The long-term trend in Sun Pharma remains firmly bullish, with a sustained uptrend since 2009 and a peak near ₹1,950–₹1,960 in September 2024. At current levels (~₹1,660–₹1,680), the stock is in a **range-bound consolidation phase**, not a reversal, following its strong rally.

Price is largely moving within the **₹1,600–₹1,800 band**, with stable volumes suggesting continued institutional holding. Key levels to watch are **support at ₹1,580–₹1,620** and **resistance at ₹1,750–₹1,800**, while a decisive breakout above ₹1,800 could revive bullish momentum. A breakdown below ₹1,580 may lead to a correction toward ₹1,450.

Overall, the short-term outlook remains **neutral**, with consolidation in the medium term, while the **long-term trend stays bullish**.

8. Conclusion:

Sun Pharmaceutical Industries Limited continues to maintain its position as India's largest pharmaceutical company with a strong domestic franchise, diversified global presence, expanding specialty portfolio, and consistent financial performance. The company has demonstrated steady revenue growth, improving profitability margins, healthy cash flow generation, and strong balance sheet strength over the years.

The financial analysis indicates that Sun Pharma has benefited from operating leverage, specialty business expansion, and an improving product mix, resulting in stable EBITDA margins and strong return ratios. The company also maintains a healthy capital structure with a net cash positive position and stable promoter holding of 54.48%, reflecting long-term management confidence and operational stability.

Peer comparison suggests that the company continues to trade at premium valuation multiples relative to several Indian pharmaceutical peers, supported by its market leadership, strong brand positioning, and

investor confidence. However, the valuation analysis through both DCF and Relative Valuation approaches indicates that the current market price already factors in a substantial portion of future growth expectations.

The DCF valuation estimates a fair value of approximately ₹1,152 per share, while relative valuation implies a fair value range of ₹959–₹1,268 per share against the current market price of around ₹1,818 per share. This suggests that the stock is currently trading at stretched valuations with limited margin of safety for fresh investment at current levels.

From a technical perspective, the stock remains in a long-term bullish trend but is presently witnessing consolidation within a broad trading range. Although the long-term growth outlook for the company remains positive, near-term upside may remain limited unless supported by stronger earnings growth, specialty segment expansion, or meaningful margin improvement.

Overall, considering the company's strong fundamentals, healthy financial profile, stable growth outlook, and premium valuation, an **“IGNORE / HOLD”** recommendation is maintained from an investment perspective at current market levels.